

DISSENTING OPINION.

The Court, by the preceding Order, has decided to afford the Parties a further period of time in which to come to an amicable agreement on the subject of the questions on which they are at issue, it being understood that if no agreement is reached, the Court will deliver judgment on all questions of law but not on those covered by Article 2, paragraph 2, of the Special Agreement.

While supporting the proposal that the Parties should be given a further opportunity of reaching an amicable settlement of the dispute relating to the free zones, the undersigned are unable to concur in the statement of the legal situation of the present position of the Court embodied in the recitals of the Order.

The Order which the Court issued on August 19th, 1929, concluded the first stage of the proceedings in the dispute between France and Switzerland as to the zones of Upper Savoy and the District of Gex, which was submitted to it by the Special Agreement of October 30th, 1924.

Since the issue of that Order, the composition of the Court has undergone a change. Of the six judges who are parties to the present opinion, three were among those who dissented from the recitals of the Order of August 19th, 1929, and two did not take part in the proceedings during the first stage. It is therefore necessary to state that the parties to the present opinion, while maintaining any previous opinion they may have expressed, do not desire to reopen or to contest the views which were expressed by the Court in the recitals of that Order. The Order embodies the conclusion reached by the Court in 1929, and is regarded by the parties to this opinion as a *fait acquis* at any rate for the present.

When the moment comes for the Court to deliver judgment, it will be called upon, in addition to answering the question formulated in Article 1 of the Special Agreement, to settle all the questions involved by the execution of Article 435.

paragraph 2, of the Treaty of Versailles. The point upon which the parties to the present opinion feel unable to agree with the majority of the Court is whether, in carrying out this task, the Court is bound under the Special Agreement and irrespective of the merits of the question, to maintain the free zones in being. In the opinion of the majority, the Court, after recognizing the rights of Switzerland in the recitals of the Order of August 19th, 1929, is bound to do so, unless and until Switzerland agrees to their suppression. In the opinion of the undersigned, no such limitation is imposed upon the Court.

The first paragraph of Article 2 of the Special Agreement is worded as follows :

"Failing the conclusion and ratification of a convention between the two Parties within the time specified, the Court shall, by means of a single judgment rendered in accordance with Article 58 of the Court's Statute, pronounce its decision in regard to the question formulated in Article 1 and settle for a period to be fixed by it and having regard to present conditions, all the questions involved by the execution of paragraph 2 of Article 435 of the Treaty of Versailles."

Paragraph 2 of Article 435 of the Treaty of Versailles was as follows :

"The High Contracting Parties also agree that the stipulations of the treaties of 1815 and of the other supplementary acts concerning the free zones of Upper Savoy and the Gex District are no longer consistent with present conditions, and that it is for France and Switzerland to come to an agreement together with a view to settling between themselves the status of these territories under such conditions as shall be considered suitable by both countries."

This is the provision which has to be executed; the task of the Court is to settle all the details involved in such execution.

It will be seen that this paragraph of Article 435 consists of two parts. The first embodies an opinion on the part of the signatories of the Treaty of Versailles. It is that the stipulations of the treaties of 1815 and of the other supplement-

ary acts concerning the free zones of Upper Savoy and the Gex District are no longer consistent with present conditions. The second part of the paragraph embodies a charge to France and Switzerland to take certain action, viz. to come to an agreement to settle between them the status of these territories.

The natural meaning of the word "execute" is to "carry out", to "fulfil". An opinion expressed by the signatories of the Treaty of Versailles is not a matter which can be executed. A mere expression of opinion does not of itself involve any further action. On the other hand, the conclusion of an agreement to settle the status of territory is a matter which can be executed, and the execution of which may give rise to many questions, between the two States who are to be Parties to it.

By reference, therefore, to the terms of paragraph 2 of Article 435, the task of the Court under Article 2, paragraph 1, of the Special Agreement begins to be clear. The Court is to settle every question which France and Switzerland would have had to settle in concluding an agreement on the subject of the status of the territories constituting the free zones.

The reason why France and Switzerland were charged with the duty of coming to this agreement is disclosed exactly in the opinion expressed by the signatories of the Treaty of Versailles in the first part of paragraph 2 of Article 435. It is that the stipulations of the old treaties, so far as they relate to the free zones, are no longer consistent with present conditions.

Assuming that the four instruments enumerated in Article 1 of the Special Agreement constitute the "treaties of 1815 and other supplementary acts", an examination of their terms shows that the only provisions in them which in essence relate to the free zones are those providing for the withdrawal from the political frontier of the French and Sardinian customs lines and fixing the place where the customs lines are to be established.

It is this withdrawal of the customs line which in fact created the free zones. If the signatories of the Treaty of Versailles stated that in their opinion the provisions in the

old treaties were no longer consistent with present conditions, they must have meant that what was no longer consistent with present conditions was the withdrawal of the customs line from the political frontier.

It is now necessary to determine Switzerland's position and the measure of her rights *vis-à-vis* France and the other signatories of the Treaty of Versailles.

That position is defined in the recitals of the Court's Order of August 19th, 1929. Switzerland possessed a right or interest in the zones which could not be taken away without her consent. Article 435 of the Treaty of Versailles had not abrogated the old treaties and consequently did not affect the right which Switzerland enjoyed under them. Nor was she a party to that Treaty and bound by its provisions as such. She had been consulted as to the wording of Article 435, but only acquiesced therein to the extent indicated in the note of the Federal Council dated May 5th, 1919, annexed to the article. That note made it clear that Switzerland was not then disposed to acquiesce in the suppression of the zones. So long as she refused to be a party to any new agreement settling the status of these territories, paragraph 2 of Article 435 of the Treaty of Versailles could not be executed and the zones would remain in existence.

The Swiss attitude subsequently underwent a modification. The negotiations between her and France, of which the notes annexed to Article 435 formed part, culminated in 1921 in the conclusion of a convention, and by this convention the Swiss Government agreed to the suppression of the zones.

As this convention was rejected by the Swiss people and therefore never went into effect, it has no bearing on the legal situation, but it is important to observe that the third paragraph of the Preamble of the convention shows that the Parties regarded themselves, when concluding the convention which suppressed the zones, as concluding the agreement provided for in Article 435, paragraph 2, of the Treaty of Versailles.

It was after the failure of this convention that France proceeded to act upon the view which she held of the legal situation. Believing that the effect of Article 435 was to

abrogate the treaties of 1815 and the other acts establishing the zones, she moved her customs line to the political frontier, thereby suppressing the zones by a unilateral act. The conclusion reached by the Court in the recitals of the Order of August 19th, 1929, shows that this act of the French Government was without legal justification and that, in dealing with the dispute, the Court must leave out of account any consequences which have resulted from it.

The ensuing tension between the two Governments produced a situation from which arbitration afforded the only means of escape, and it was by virtue of the Special Agreement which was in due course concluded that the Court became seized of the dispute, and it is the terms of that Special Agreement which determine the extent to which the Parties have placed themselves in the hands of the Court.

The task which the Special Agreement lays upon the Court is that of deciding the legal point formulated in Article 1, and then (in certain events which have since come to pass) of settling all the questions involved in the execution of paragraph 2 of Article 435 of the Treaty of Versailles.

It is worth noting that the word "settle" (in French: *régler*), used in Article 2 of the Special Agreement, is the same word as is used in paragraph 2 of Article 435, which says that France and Switzerland are to *settle* the status of the territories (i.e. the zones) because the old treaties were out of date, and in paragraph 2 of Article 1, which provides that, after obtaining the Court's opinion on the legal point formulated in the first paragraph, the Parties are to have a reasonable time to *settle* the new régime in those districts. As pointed out above, the Parties themselves, in their draft convention of August 7th, 1921, have interpreted Article 435, paragraph 2, as comprehending an agreement which would, if it had come into force, have suppressed the zones, and it has not been suggested that the Parties might not have come to a similar agreement in the negotiations provided for in Article 1, paragraph 2, of the Special Agreement. It would seem natural to conclude that the powers of the Court, when settling every question involved by the execution of this provision in the Treaty of Versailles, must be equally wide. At any rate it would be necessary to find some good reason

for excluding the natural conclusion to be drawn from the use of the same word in these three provisions.

It is contended that the powers of the Court cannot be so wide as those of the Parties, because it would have been useless for the Parties to have asked for a determination by the Court, under Article 1 of the Special Agreement, of the question whether the old treaties and other acts which are the basis of the Swiss rights have been abrogated, if the Court is to be at liberty, in deciding the questions involved in the execution of Article 435, to set those rights aside. It is admitted that Switzerland herself, in making the new agreement foreshadowed in Article 435, could agree to the suppression, but it is urged that the powers of the Court under Article 2, paragraph 1, of the Special Agreement, cannot be equally wide, because the Court must respect the rights which it has itself recognized.

This argument misunderstands both the economy of the Special Agreement and the position between France and Switzerland at the time of its conclusion.

At the time when the agreement to bring the dispute before the Court was concluded, France had taken action suppressing the zones by unilateral action. She was upholding the view that Article 435 of the Treaty of Versailles, with its annexes, had abrogated the old treaties, which were the foundation of the Swiss right to the maintenance of the zones, that this right had ceased to exist, and that she was therefore justified in transferring her customs line to the political frontier, whether an agreement was concluded with Switzerland or not.

It was to decide whether or not this view was correct that the question formulated in Article 1 of the Special Agreement was put to the Court.

What was contemplated in Article 435 of the Treaty of Versailles was an agreement between France and Switzerland, action in common by the two Parties, not singlehanded action by one of them. It is the settlement of the questions arising in the execution of what should have been an action of the two Parties together, viz. the making of an agreement, that is now entrusted to the Court by the two Powers through the Special Agreement. The fact that the recitals of the Order of

1929 recognized the right of Switzerland to the maintenance of the zones as against singlehanded action by France affords no reason why the same rule must obtain when the Court is fulfilling the task laid upon it on behalf of the Powers jointly.

It has also been contended that, in settling the questions involved in the execution of Article 435, paragraph 2, i.e. the making of an agreement between France and Switzerland as to the future of these territories, the Court cannot go beyond the limits which Switzerland herself laid down, when in her note of May 5th, 1919, annexed to Article 435, she made it clear that she did not intend to agree to the suppression of the zones, but only to regulate in a manner more appropriate to the economic conditions of the present day the terms of the exchange of goods between the regions concerned. This was the only undertaking which was binding on Switzerland, and constitutes therefore the only agreement which the Court can execute.

The answer to this contention is that what Switzerland, by Article 2 of the Special Agreement, gave the Court power to do, was to settle every question involved in the execution of Article 435, paragraph 2. The Swiss intimation of willingness to agree to a more appropriate regulation of the exchange of goods between the territories concerned without suppressing the zones is not found in Article 435, paragraph 2, but in one of the *annexes* to that article. The Special Agreement specifically mentions the annexes to Article 435 when it intends them to be included. When it makes no mention of them, it must therefore be inferred that they are not to be included. Article 1 calls upon the Court to decide whether Article 435, paragraph 2, of the Treaty of Versailles, *with its annexes*, has abrogated the treaties there enumerated. It was necessary to refer to them because the Parties were called upon subsequently to negotiate, but this necessity disappeared as soon as Article 2 of the Special Agreement came into play, that is to say, as soon as the Court was called to settle the details of the régime. Hence Article 2 makes no mention of the annexes, and no sound principle of judicial interpretation justifies the Court in reading the words "with its annexes" into Article 2 when they are not there.

An additional objection to the contention that what Article 435, paragraph 2, had in view was an agreement between France and Switzerland with regard to the exchange of goods between Switzerland and the zones, is that such a stipulation in the Treaty of Versailles was quite unnecessary. France and Switzerland had always before 1919 regulated the exchange of goods between Switzerland and the zones in bilateral agreements, and these they were at liberty to abrogate, revise or renew as they pleased. No authorization from other Powers was necessary to enable them to do so.

The reason why paragraph 2 of Article 435 of the Treaty of Versailles declared that it was for France and Switzerland to come to an agreement about the "status of the territories" was that this status was established by instruments which formed part of the great European settlement after the Napoleonic wars. In that settlement all the great Powers of Europe had been concerned, and it was not for France alone, or for France and Switzerland alone, to vary the settlement so far as regards the existence of the zones.

Confirmation of this view is to be found in the fact that, after the conclusion of the Treaty of Versailles, Spain and Sweden, who were parties to the settlement of 1815 but not parties to the Treaty of Versailles, were asked to agree to the stipulations of Article 435. Their adhesion is recorded in the Preamble to the Convention of August 7th, 1921. Nothing could show more clearly that what this paragraph in the Treaty of Versailles had in mind was some agreement which might involve a modification in the settlement of 1815, and nothing in that settlement related to the zones except the provisions which brought them into being, viz. the withdrawal of the customs line from the political frontier.

The parties to the present opinion can see no sound reason why the liberty enjoyed by the Court in settling every question involved in the execution of Article 435, paragraph 2, is more restricted than that which the Parties themselves would have enjoyed in determining the effect of "present conditions" upon the stipulations of the treaties of 1815 and 1816. If that proposition is correct, it follows that the Court is not

prevented, in carrying out its task under Article 2, paragraph 1, of the Special Agreement, from placing the French customs line at the political frontier, if satisfied that this would be the régime most in conformity with present day requirements.

It is a mistake to suppose that the advantages which Switzerland has enjoyed under the régime of the zones would not be safeguarded if the Court should ultimately be led to the conclusion that the wisest solution of the problem would be to place the French customs line at the political frontier.

What Article 435, paragraph 2, provided for was an agreement between France and Switzerland, "under such conditions as shall be considered suitable by *both* countries". Manifestly it would therefore be the duty of the Court under Article 2 of the Special Agreement to see that the arrangement was so framed as not to prejudice the interests of Switzerland.

So many diverse elements, however, would have to be taken into account in settling the régime of the territories, that it is most desirable that the Parties should come to an agreement upon the question, after negotiations directed to the satisfaction of the real interests of every kind concerned, and not merely to the perpetuation of rights without reference to the question whether they are in harmony with present conditions.

(Signed) D. G. NYHOLM.

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